arrived at in completely different ways, one could take the sum of ₹3 *lakh crore* as a reasonable estimate of India's black money in 2016.

Next, we can estimate how much black money was 'flushed out' of the system by comparing the amount of money that was demonetized on 8 November 2016, with the amount of money deposited back with the RBI (via the banking system).

The difference between the two numbers would be equal to the money that was not returned either because:

The holder could not do so in time: This would constitute *white money* that in effect the State had expropriated from legitimate holders of cash (e.g., NRIs who were stranded with money and could not deposit it with the RBI in time; senior citizens who had forgotten where they had stored emergency cash, etc.).

The holder did not wish to do so to avoid detection: This would constitute the *black money* that the Prime Minister had intended to flush out of the system. It was this money that he had referred to in his Goa speech of 13 November, when he said: '*Those who didn't throw a penny in the waters of Ganga are submerging their bundles into it…*'

The data[6] is as follows:

a. Amount of money (₹500 and ₹1,000) in circulation as on 8 November 2016: ₹15.41 lakh crore. (₹15,417.93 billion)
b. Amount of money (₹500 and ₹1,000) deposited as on 30 June 2018: ₹15.31 lakh crore. (₹15,310.73 billion)
c. Amount of money not deposited, or 'flushed out' (a-b): ₹10,720 crore (₹107.20 billion), equivalent to only 0.65 per cent of the notes demonetized.

Clearly, demonetization did not lead people to submerge their black money in the holy Ganga waters, as almost every rupee – more than 99.35 per cent of the currency demonetized – came back into the banking system. The expectation that Indians with black money